

Single Candlestick patterns

We think one should avoid trading on a short candle stick patterns cause it generally shows unpredictability

I am using RELIANCE data as examples for each from tradingview.com

1. Marubozu
 1. Bullish Marubozu
 2. Bearish Marubozu
2. Doji
3. Spinning Tops
4. Paper umbrella
 1. Hammer
 2. Hanging man
5. Shooting star

Multiple Candlestick patterns

1. Engulfing pattern
 1. Bullish Engulfing
 2. Bearish Engulfing
2. Harami
 1. Bullish Harami
 2. Bearish Harami
3. Piercing Pattern
4. Dark cloud cover
5. Morning Star
6. Evening Star

There are two type of traders risk taker and risk averse trader

1. Marubozu

Marubozu is the only pattern that violates rule number 3 that is looking at the prior trend

1. Bullish Marubozu

The stoploss for the bullish marubozu would be the low of marubozu



Short candles indicate subdued activity while long shows extreme the problem with the long candles would be the stoploss would be very far away , if incase the trade goes not what we assumed the penalty would be large

1. Doji

2. Spinning Tops

Doji's and spinning tops more over indicate the same thing that is after a downtrend or an uptrend the market can reverse its direction or continue the trend which shows indecision in the market and generally the colour of both does not matter



a. Hammer

If the paper umbrella appears at the bottom end of a downward rally, it is called the '**Hammer**'.

A hammer can be of any colour as it really does not matter as long as it is a paper umbrella

The low of the hammer works as the stoploss



b. Hanging man

If the paper umbrella appears at the top end of an uptrend rally, it is called the '**Hanging Man**'.
Man'.



The high of the hanging man works as a stoploss

Multiple Candlestick patterns

Once a trade has been set up, we should wait for either the stoploss or the target to be triggered. It is advisable not to do anything else, except for maybe trailing your stoploss.

1. Engulfing pattern

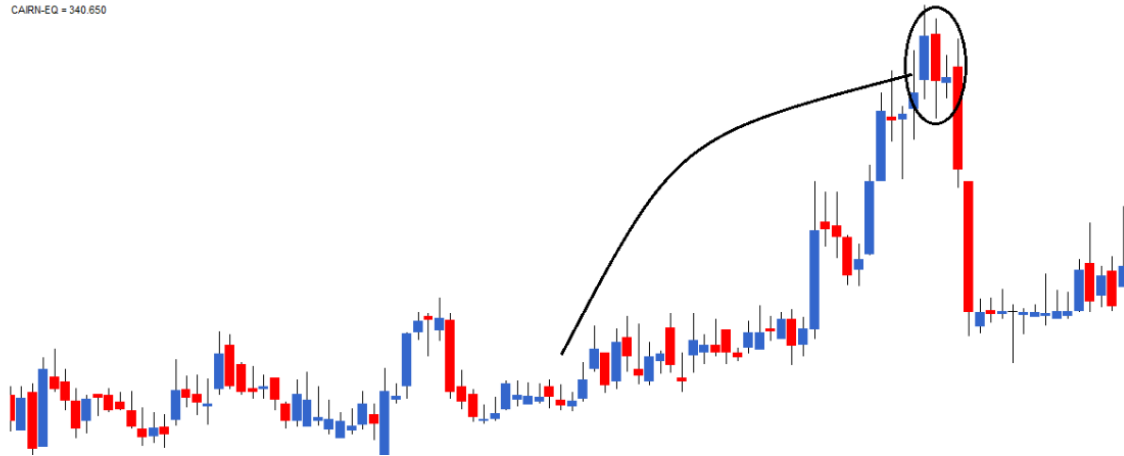
1. Bullish Engulfing

Appears at the bottom of the downtrend



If there is presence of a doji after the engulfing pattern it points towards panic and uncertainty and creates a big opportunity

CARIN-EQ = 340.650



1. Harami

1. Bullish Harami

The opening on P2 should be higher than the close of P1 . The current market price at 3:20 PM on P2 should be less than P1's opening price. The stop loss for the trade would be the lowest low price between P1 and P2;



EMA and SMA

-----o----- (12 day EMA)

----- (26 day EMA)



Here as we can see the 12 day EMA is above the 26 day showing bullish pattern



As we can see here that candle sticks are below both EMA's showing strong downtrend. And also as the 12 day EMA goes below the 26 day EMA it indicates selling

AS SMA is a slow learner than EMA it is better for broader market trends and can be similarly like EMA be used to analyse the stock

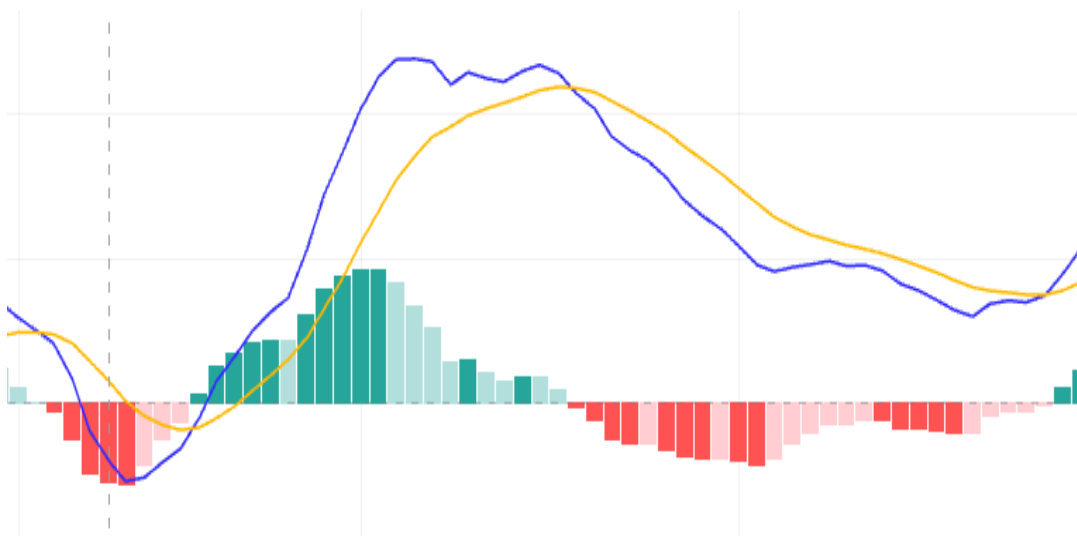
-----o----- (20 day SMA)

----- (50 day SMA)



So now this is a 1 month time line chart and as we can see a massive uptrend in the stock for a long view as 20 day SMA is above 50 day SMA and also the stock is pricing over both SMA's

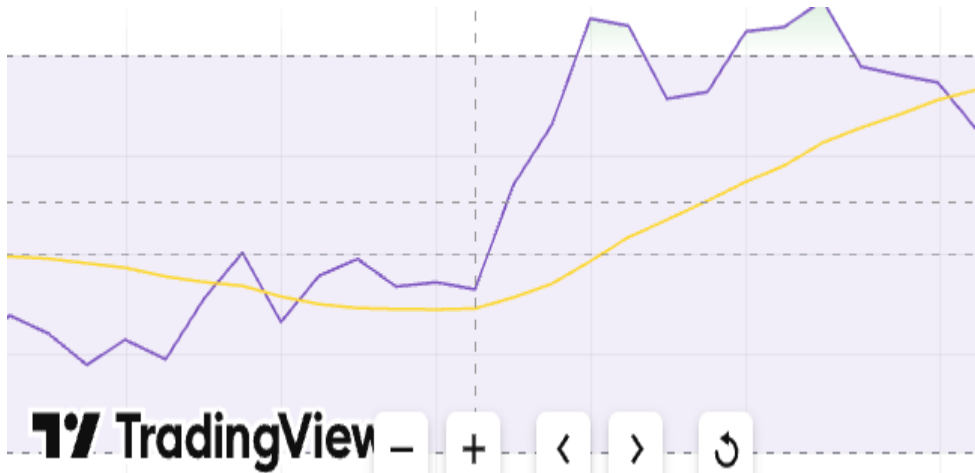
MACD



The blue line is the MACD line and the orange one is 9 day EMA of the MACD line and also when the MACD line is above the signal line it signifies bullish pattern

Here the histogram bars shows the strength of the momentum and if the positive bars are expanding it shows possible bullish pressure

RSI



Here the blue line is the RSI value and the yellow is the moving average RSI value

Above 70 -> overbought

Around 50 -> neutral

Below 30 -> oversold

As we can see the blue line crossed the neutral range showing strong momentum and also it crossed the yellow line which shows strong bullish signal

Next we could see is that the blue line went over 70 which signaled over bought region and a reversal of trend and as we could see it did reverse

Bollinger bands



According to this image the upper band is red the middle band which is the 20 day SMA and the lower band is green

As we can see initially the stock is pricing near the upper band which shows strong buying pressure and then it further started pricing near the lower band which shows bearish sentiment

As we can also see the width of the band increasing which means increasing volatility

Volume



Trading volume remained stable during February and March. A sharp increase in volume during the late April rally confirmed strong buying interest, while high volume during the May decline indicated selling pressure. Recently, Reliance has shown signs of recovery with moderate volume support, though higher volume will be needed to confirm a sustained bullish trend.

Dow Theory Perspective

The primary trend in Reliance Industries remains bearish, as the stock has been forming lower highs and lower lows since its peak near ₹1470 in May 2026. However, the recent rise from the ₹1250 support zone suggests the emergence of a secondary rally within the broader downtrend. According to Dow Theory, such rallies are common and should not be interpreted as a complete trend reversal without further confirmation. At present, no clear double-bottom or major reversal pattern has formed. A sustained breakout above the ₹1360–1400 resistance zone, accompanied by higher highs and higher lows, would provide stronger evidence of a trend reversal and the beginning of a new bullish phase.

Overall Performance

Reliance is recovering after its recent fall and is showing positive movement in the short term. Buying interest has improved, and most indicators give a positive signal. However, the stock needs to move above the ₹1360–1400 range to confirm a stronger uptrend. Until then, the outlook remains cautiously positive.